Ministry of Housing, Communities & Local Government

Rt Hon Steve Reed OBE MP
Secretary of State for Housing, Communities & Local Government
2 Marsham Street
London
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Leaders in Nottinghamshire and Nottingham
By email

16 July 2026

Dear Leaders,

Thank you for your continued work to deliver local government reorganisation in Nottinghamshire and Nottingham. This Government is delivering the most ambitious programme of local government reform in a generation, replacing the inefficient two-tier system with new unitary councils so that all parts of our country can access strong services, and are ready for devolution. We need to devolve power out of Whitehall so that we can rebalance wealth, power and opportunity across our country. But devolution must be built on strong local councils that can deliver good public services, support growth, and remain closely connected to the communities they serve.

Doing this right means recognising the unique contributions that different areas make to people's lives, as well as to the national economy. Some of our smaller cities are highly productive, but have been constrained by tight boundaries, set decades ago, which stop them from building the homes they need. Others are more rural, with significant demand for social care services and affordable housing. Local government should be set up to address the unique circumstances of each area and design public services tailored to each community.

Reorganisation provides us with a once-in-a-generation opportunity to ensure that councils genuinely represent the communities they serve today and stand the test of time. We know that people care about their own villages, home towns, high streets and communities. In many parts of the country, existing boundaries do not match local economies, public services, or local identities.

We won't achieve effective devolution or enable effective place-based public services with outdated and misaligned structures that slow down delivery, fragment public services, hamper housebuilding and slow down important decision making. We need to make sure that new councils are grounded in place and are genuinely connected to their communities.

Decisions

I have considered your proposals carefully against the criteria set out in the invitation letter of 5 February last year, alongside the responses to the consultation, representations made, requests for modifications made alongside the proposals and all other relevant information. Following this assessment, I have decided to move forward with the implementation of the **two unitary option requested by Nottingham City Council**. In doing so, in accordance

with the provisions of the Local Government and Public Involvement in Health Act 2007, I will exercise my power to modify the two unitary proposal submitted by Nottinghamshire County Council and Rushcliffe Borough Council to achieve the boundary changes requested by Nottingham City Council. For ease, this is now referred to as “my selected option”.

These new councils will comprise the current areas of:

- Nottingham City Council, plus 15 wards from Broxtowe Borough Council, 15 wards from Gedling Borough Council and 17 wards from Rushcliffe Borough Council (referred to in the option as ‘Southwest’)
- Ashfield District Council, Bassetlaw District Council, Mansfield District Council, Newark and Sherwood District Council, plus five wards from Broxtowe Borough Council, four wards from Gedling Borough Council and seven wards from Rushcliffe Borough Council (referred to in the option as ‘North and East’)

In my view, my selected option will enable a better outcome overall for the area than the unmodified proposal. I want to thank you for all of the work that has gone into developing proposals that seek to deliver new unitary councils that will help to grow the local economy and provide better public services for the people of Nottinghamshire and Nottingham. Your ongoing collaboration will be vital to ensure that the proposal is implemented by April 2028 with the interests of residents at its heart.

Turning to the reasons for my decision, in my judgement, although all the other proposals met the criteria for unitary local government, overall I consider my selected option to be the best model for Nottinghamshire and Nottingham. It performed particularly well due to the fact that it will create a sensible geography for service delivery with a better urban/rural split, as well as better supporting housing growth and city development. I also judge that my selected option will better reflect the urban and rural identities in the area.

In more detail, my selected option performs particularly well in the following areas:

- **Sensible geography for the economic area and supporting Nottingham’s development:** While all three options create two similarly sized councils, my selected option establishes a more coherent geographical split across the areas, with one city authority that seeks to cover the vast majority of the city’s urban area with some of its connected rural hinterland and another unitary council that covers a mix of rural areas and market towns. This will create more coherent, sensible geographies in terms of housing and economic growth as well as geographies that align well with the strategic growth ambitions of the East Midlands Combined County Authority. In my view, my selected option will create much more favourable conditions for economic and housing growth, as each of the other two proposals split the Nottingham urban area, placing constraints on city growth to the North or South, and meaning that city development would need to be co-ordinated across two authorities. These proposals would therefore be less strong than my selected option for the economic prospects of the area and its ability to increase housing supply and meet local needs. On the other hand, my selected option better brings together the urban area under one unitary, which will support greater geographic coherence across the economic area, for example in relation to integrating housing, transport, regeneration and service planning. I have found that boundary

changes within my selected option are also justified on the basis that it better aligns the new councils to current economic development priority areas compared with the base proposal submitted by Nottinghamshire County Council and Rushcliffe Borough Council.

- **Services that meet local needs and tailored to urban and rural communities:** All three proposals set out strong cases for how they would improve public services and tailor local services to local needs and the distinct urban and rural communities. I do, however, judge that my selected option will be better placed because the new councils better balance and group urban and rural communities. This will give those councils a stronger platform to provide a more sensible service delivery geography and create the opportunity to tailor services and delivery models to the different needs of those urban and rural communities. I believe that this benefit justifies any additional transition risk, which can be managed through the careful implementation set out within my selected option.

All three proposals perform strongly and similarly against the financial criteria and would deliver new councils that would represent an overall improvement in sustainability over current structures.

I acknowledge that my selected option may introduce slightly higher transition costs due to the boundary changes – but, following careful consideration, my view is that there is a strong public services and financial sustainability related justification for the boundary change required for my selected option, because it better aligns with the economic geography and supports Nottingham's housing growth and it better allows service delivery to be tailored to local needs and the urban and rural populations. Taken together, this will better support the long-term financial sustainability of the city, by enabling the strategic growth in Nottingham to be led by one authority; by facilitating more housing and economic growth with the potential to strengthen the taxbase of the councils; and by offering greater opportunity for the city to achieve its economic potential.

Next steps

In relation to next steps, as you are aware a Structural Changes Order, which will be subject to Parliamentary approval, is required to abolish existing councils, establish new structures and make transitional arrangements. I have carefully considered the information in the proposals as well as the further representations you have made on the content of this Order.

My officials will shortly write to your Chief Executives setting out the next steps and timeline for implementation, including my initial decisions on transitional arrangements that will be included in the draft legislation. This will enable you to take forward the work needed to begin preparation for implementation, in advance of Parliamentary approval of the Order. Critically, and drawing on learning from previous rounds of reorganisation, this will include a single Implementation Team formed of officers from across the area, and elections to the new unitary councils in May 2027. For the avoidance of doubt, these elections to the new unitary councils will replace any scheduled local elections, and affected councillors will have their terms extended.

A broad support offer is in place for councils, including support to councils through our sector advisors and through funding to the Local Government Association for an enhanced support offer. We have already announced £63m in capacity funding to support the reorganisation process, and I am pleased to provide further detail today on how this funding will be allocated.

Of the £63 million capacity funding, as well as the unprecedented £900,000 transition support to each new unitary already announced, we are also committing up to £150,000 per each new unitary as supplementary funding for Leadership Capacity and Continuity in Children's Services, Adult Social Care and Public Health. This is part of a wider package of support worth up to £10m for children's services, adult's social care and public health leadership, which will also fund targeted development, mentoring and peer support for current, new and aspiring leaders.

In addition, up to £1m of funding overall will be available to support the small number of areas with complex fire and rescue authority transitions.

Taken together, this means that areas undergoing local government reorganisation will receive more than £1 million per new unitary created. This is the first time reorganisation has been supported in this way and shows this Government is committed to supporting councils to get these reforms right. We will confirm details of these allocations in due course.

For Nottingham specifically, this support is in the context of the continued positive progress of the statutory intervention. New support will be coherent with the existing arrangements to support that improvement journey and we will work closely with the Ministerial Envoy, Sharon Kemp, to ensure a balanced approach between the immediate priorities of improvement for Nottingham and the focus on the longer-term success and sustainability of the new authorities.

I look forward to continuing to work closely with you to deliver the vital improvements that reorganisation can facilitate.

I am copying this letter to your Chief Executives, MPs, the Ministerial Envoy, the East Midlands Combined County Authority Mayor, and the Nottinghamshire Police and Crime Commissioner.

Yours sincerely,



RT HON STEVE REED OBE MP
Secretary of State for Housing, Communities and Local Government